Reg. No									

St. Joseph's College of Arts & Science (Autonomous)

St. Joseph's College Road, Cuddalore – 607001

B.Com DEGREE EXAMINATION APRIL 2021

CM101 – FINANCIAL ACCOUNTING - I

Time : 3 hrs **Max Marks :75**

SECTION – A (10X2=20)

Answer **ALL** the Questions

1. State any Two Objective of Accounting?
2. What is a Trial Balance?
3. What do you mean by Balance Sheet?
4. Pass Journal entry Depreciation at 5% is to be charged on Plant and Machinery worth Rs. 10000.
5. What is Hire Purchase System?
6. What is mean by Average Due Date?
7. What is an Installment Purchase System?
8. What are Accounting Standards?
9. Expand : ASB.
10. What is a Ledger A/c?

SECTION – B (5X5=25)

Answer any **FIVE** Questions

11. Explain the Accounting Conventions in details?
12. What is Trial Balance? Explain its Objectives and Functions.
13. A company purchased a second hand Plant for Rs. 30000. It immediately spent on it Rs. 5000. The Plant was put to use on 1.1.90. After having used it for Six years it was Sold for Rs. 15000. You are required to prepare the Plant A/c for 6 years. Providing Depreciation at 10% on Original cost.
14. The following are a series of transaction between Anbu and Balu for the three month ending 31.3.89. Calculate the amount of interest to be paid by one parts to the other at 10% p.a. using Epoque method.

Book of Anbu

1-1-89	Balu's opening Balance (Dr.)	10000
10-1-89	Sold goods to Balu	20000
15-1-89	Cash received from Balu	20000

15-2-89	Sold goods to Balu	20000
1-3-89	Cash received from Balu	10000

15. Ravi took a Colliery on lease. The dead rent was Rs. 750 a year merging into a royalty of 35 paise per tonne of raised. With the right to recover short working out of royalties of Two subsequent years from the period in which the short working arose. The output raised were.

I year – 1000 tonnes IV year – 1500 tonnes
II year – 1500 tonnes V year – 1000 tonnes
III year – 2500 tonnes

Give the necessary Ledger A/C for each five in the books of Ravi.

16. Mr. X purchased a cycle on Hire purchase for Rs. 1000 to be paid as follows.

On signing the agreement	120
At the end of the first year	170
At the end of the second year	160
At the end of the last year	550

The Vendor charged interest at 10% p.a. on the cash value remaining unpaid each year. Calculate the cash value of the cycle.

17. The following are the details relating to process II. Input 20000 kgs at Rs. 10 per kg Normal Loss 10% .output 17000 kg other process. Cost Rs. 88000 Closing stock of finished goods 7000 kgs.

SECTION – C (3X10=30)

Answer any **THREE** Questions

18. Discuss the Merits and Limitations of Accounting?
19. From the following balances as at 31.12.1994 of a trader. Prepare a Trading and Profit & Loss A/c for the year 1994 and a Balance sheet as on that date.

Salaries	5,500	Creditors	9,500
Rent	1,300	Sales	32,000
Cash	1,000	Capital	30,000
Debtors	40,000	Loans	10,000
Trade expenses	600		
Purchases	25,000		
Advances	2,500		
Bank balances	5,600		
Total =	**81,500**	Total =	**81,500**

Adjustment:

i) The Closing Stock amounted to Rs.9,000.
ii) One month Salary is Outstanding.
iii) One month rent has been paid in advance.
iv) Provide 5% for Doubtful debts.

20. The following amounts are due to Raja by Raman, who wants to Pay off. On i)18.3.97 (or) ii)14.7.97. interest rate of 8% p.a. is taken into consideration.

Due dates	Rs.
10-1-97	1,000
26-1-97 (Republic day)	2,000
23-3-97	6,000
18-8-97 (Sunday)	8,000

Determine the amount to be paid in (i) and (ii).

21. The Madras Trading Co. purchased a motor Car from Bombay Motor Co. on Hire Purchase agreement to pay further three installments of Rs. 10000 each on 31st December each year. The cash price of the Madras Trading Co. writes off 10% p.a. as depreciation on the reducing balance method. Journalise the above in the books of both the parties.

22. A Machine was purchased on 1.1.2001 for Rs. 12 Crores and depreciation on straight line basis of 10 years effective life of the machine .on 31.12.2003. It is re- accessed and the balance of effective life time is deemed as only 3 more year. How do you deal with the matter under AS- 6 Depreciation Accounting?

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